

Industrial Property Tax Reassessment: The Hidden Risk Facing Ontario Manufacturers

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Ontario manufacturers may be sitting on a significant hidden tax risk. While industrial property values have changed dramatically since 2016, Ontario continues to assess most industrial properties using a January 1, 2016 valuation date. The eventual return of reassessment could materially alter property tax obligations across manufacturing facilities, distribution centres, and industrial portfolios. For many organizations, this has made property tax increasingly difficult to forecast. This is not simply an administrative delay. It reflects a deliberate provincial policy decision tied to a broader review of Ontario's property assessment system. When reassessment resumes, the impact will extend beyond updated values. It will reshape how the municipal tax burden is distributed across industrial properties. The question is no longer whether change is coming. It is whether businesses are prepared to manage it. How Property Tax Is Calculated in Ontario Ontario property taxes are based on the Current Value Assessment (CVA) determined by the Municipal Property Assessment Corporation (MPAC). Municipalities then apply tax rates to those assessments to generate the revenue required to fund local services. At a system level, MPAC establishes the assessment base, while municipalities determine how much revenue must be collected. The interaction between those two factors ultimately determines a property's tax bill. Why 2016 Valuations Still Matter Property assessments used today continue to reflect a January 1, 2016 valuation date. As a result, there is a widening gap between assessed values and current market conditions. Since 2016, Ontario's industrial real estate market has undergone substantial change. Growth in e-commerce, supply chain realignment, increased demand for logistics and warehousing space, rising construction costs, and ongoing industrial development have significantly influenced property values across many markets. Yet the assessment base has remained largely unchanged. The longer this disconnect persists, the more significant the realignment may be when reassessment resumes. What Reassessment Means for Industrial Properties Property tax in Ontario is fundamentally a distribution mechanism. One of the most common misconceptions is that reassessment automatically increases municipal revenue. In reality, reassessment primarily redistributes the tax burden among properties based on changes in their relative values. Municipalities still determine overall revenue requirements through their budgeting process. For manufacturers, this means facilities located in stronger-performing industrial markets may ultimately bear a larger share of the tax burden if their values have increased faster than other property classes or regions. Recent legal and policy developments also continue to influence Ontario's property tax framework. Decisions such as the Stamford Kiwanis case demonstrate

that assessment and taxation rules continue to evolve, reinforcing the importance of monitoring future developments. Although the case deals with tax exemption eligibility rather than industrial assessment directly, it illustrates how Ontario's property tax framework continues to evolve through both legislative and judicial developments.

Common Property Tax Misconceptions

Myth #1: Reassessment Increases Municipal Tax Revenue Reassessment does not automatically increase the amount of revenue municipalities collect. Its primary purpose is to redistribute taxes based on updated property values and relative market positions.

Myth #2: Frozen Assessments Mean Tax Bills Cannot Increase Even if assessed values remain unchanged, municipalities can increase tax rates to fund operating and infrastructure requirements. As a result, tax bills can rise during an assessment freeze.

Myth #3: Property Improvements Are Ignored Until Reassessment Returns New construction, building additions, renovations, and significant improvements continue to be assessed by MPAC. These changes can affect future tax exposure even while the broader reassessment cycle remains paused.

A Practical Example for Manufacturers Consider a manufacturer that expanded a distribution facility from 200,000 to 300,000 square feet in 2022. That expansion has already been incorporated into the property's assessment base. When reassessment eventually resumes, a second factor comes into play: the property's relative market position. If industrial values in that municipality have appreciated more rapidly than residential or commercial properties, the facility could assume a larger share of the municipal tax burden. Even if the municipality's total revenue requirement remains unchanged, the company's annual property tax costs could increase materially because its property has become relatively more valuable than others in the tax base. The exposure is therefore not limited to the expansion itself. It also reflects where the asset sits within the broader market.

Four Actions Manufacturing Executives Should Take Now

1. **Model Reassessment Scenarios** Evaluate how updated valuation dates could affect individual facilities and broader real estate portfolios. Understanding potential outcomes today can reduce surprises later.
2. **Review Property Assessment Data** Ensure property records, building characteristics, and assessment information are accurate. Errors can persist through future valuation cycles and affect tax obligations for years.
3. **Incorporate Property Tax into Capital Planning** Property tax implications should be included in investment decisions involving facility expansions, redevelopments, automation projects, and new construction.
4. **Monitor Policy and Legislative Developments** The timing and structure of future reassessments will ultimately be determined through provincial policy decisions. Staying informed can help organizations anticipate potential changes before they occur.

A Strategic Cost Centre, Not a Fixed Expense

Ontario's extended assessment freeze has created an unusual disconnect between today's market realities and the values that underpin industrial property taxation. While the timing of reassessment remains uncertain, its eventual impact on manufacturers and industrial property owners is not. Organizations that understand their potential exposure, validate assessment data, and incorporate property tax into strategic planning today will be better positioned when Ontario's next reassessment cycle arrives. In an environment of rising operating costs and increased pressure on capital efficiency, property tax should no longer be viewed as a static line item. It is a strategic cost centre that deserves executive attention.

Key Takeaways for Ontario Manufacturers

- Industrial property assessments in Ontario remain based on January 1, 2016 values, despite nearly a decade of market change.
- When reassessment resumes, property tax will be redistributed across industrial assets based on relative value changes, not increases in total municipal revenue.
- Facility expansions, new builds, and improvements continue to be assessed and may compound future tax exposure.
- Municipal tax rate increases can still drive higher tax bills even without changes in assessed value.
- C-suite leaders should proactively model tax scenarios and integrate property tax into capital and operational planning.

The content of this article is intended to provide a general guide to the subject matter. Specialist advice should be sought about your specific circumstances.